

Adam Smith and mercantilism

Exam 1 Study Guide · HL chs. 2–3, Smith reader, guest lectures ·
Thursday, Oct 1 · 11:00 am–12:15 pm

Name _____

Format. Seventy-five minutes. One hundred points. **Bluebook exam.** Bring **only a pen or pencil** — I will provide the bluebook. Closed book, closed notes. Multiple choice, fill in the blank, short answer, and essay (choose 2 of 3).

Sources. Hunt & Lautzenheiser chapters 2 and 3; the Smith reader (*Theory of Moral Sentiments* Part III and *Wealth of Nations* Books 1, 2, and 4) that Prof. Gardner distributed; and Prof. Gardner’s three guest lectures.

Know these cold. Every one will show up on the exam somewhere.

Theory of Moral Sentiments

Reader, TMS III.I.46–47

The Chinese earthquake passage. What Smith says corrects our natural self-love: **reason, principle, conscience** — “the man within.” Distinguish **self-interest** (healthy) from **selfishness**.

Wealth of a nation

WN I, introduction and chapter i

A nation’s wealth is not gold (contra mercantilists) but its **annual produce** — its standard of living. Productivity depends on the **division of labor** and its three sources: dexterity, saved time, machinery. The pin factory.

The origin of the division of labor

WN I.ii, p. 25

Smith’s answer, which reverses Aristotle: we do not exchange because we specialize; we specialize because we have a **propensity to truck, barter, and exchange**. Gardner reads this as Smith establishing the market as the *natural* system. The butcher/brewer/baker passage lives here.

The division of labor is limited by the extent of the market

WN I.iii

Bigger market → more specialization → higher productivity. Water carriage opens the biggest markets; the first civilizations were coastal. This is Smith’s argument for free trade in embryo.

Value: use versus exchange

WN I.iv, p. 44

Two meanings of value. The water/diamond paradox. Smith puts use value aside for the economics book.

Labor as the real measure of value

WN I.v, pp. 47–54

The “real price” of a thing is the **labor** it takes to acquire it (working time). Nominal price is money. Gardner’s key claim: for Smith, labor is a theory of the *measurement* of value, not a theory of what *causes* price.

The beaver, the deer, and the “early and rude state”

WN I.vi.1–4, p. 65

In the primitive state — *before* the accumulation of stock and the appropriation of land — the whole produce of labor belongs to the labourer, and price = labor. **Once capitalists and landlords exist, that changes:** price = wages + profit + rent.

Natural price and market price

WN I.vii, pp. 72–80

The **natural price** is the sum of the natural rates of wages, profit, and rent. The **market price** is what a good actually sells for; it gravitates toward the natural price. The quantity demanded at the natural price is what Smith calls **effectual demand**.

Wages

WN I.viii, pp. 82–97

Set by a **bargain** between masters and workmen who are not equals. **Lower bound:** subsistence. **Upper bound:** the wages fund (what capitalists have saved). In between: the masters win, because they are fewer, combine more easily, and the law is on their side. **Economic growth** strengthens the workers’ bargaining position (I.viii.22) — North America vs. England, and China as the counter-example.

Capital accumulation and parsimony

WN II.iii, pp. 337–42

The immediate cause of the increase of capital is not industry but **parsimony** (saving). Individuals’ frugality typically outweighs both private and public prodigality: Smith on the “natural progress of things towards improvement.”

The invisible hand

WN IV.ii, pp. 454–56

The phrase appears **once** in *Wealth of Nations*. It is a narrow claim about **capital allocation**: a merchant preferring domestic to foreign investment (for his own security) promotes an end that was “no part of his intention.” Not a general theory of prices.

Two legitimate cases for restraining foreign imports

WN IV.ii, p. 463

(1) **National defence** — the Navigation Acts (“defence is of much more importance than opulence”). (2) An **equal tax** matching a domestic tax on the same good. Beyond these two, Smith opposes protection.

The system of natural liberty

WN IV.ix

Smith's own name for his system. Three duties of the sovereign: defence against invasion, exact administration of **justice**, and certain public works.

HL context: mercantilism

HL ch. 2, pp. 23–38

Barbon on value (p. 25). **Mandeville's paradox** — private vice, public benefit (p. 32). **Quesnay's Tableau** and the “sterile” manufacturing class (p. 36). **North** on leaving merchants alone (p. 32).

HL context: Smith's four stages

HL ch. 3, pp. 44–46

Hunting, pasturage, agriculture, commerce — societies classified by mode of subsistence. **Property comes first; civil government arises to protect it.** The “wisdom of God” passage (p. 47).

Also worth studying — not on the exam, but this is the material

The exam does not test these directly, but studying them makes the tested material make more sense. Reading them will improve your essay answers.

- **Sympathy and the impartial spectator** (TMS Parts I and III). What “sympathy” actually means for Smith — imaginative projection, not kindness — and how the impartial spectator becomes conscience.
- **The Adam Smith Problem.** 19th-century German claim that *TMS* and *WN* are incompatible; refuted by Cannan's 1896 discovery of Smith's 1763 Glasgow lecture notes, which already contain the economics of *WN*. Smith spent his last five years enlarging *TMS*, not *WN*.
- **The Physiocrats.** Smith met Quesnay and Turgot in France 1764–66; kept their focus on production and their attack on mercantilism; rejected their claim that only agriculture is productive.
- **Falling rate of profit.** Smith saw it as good news (a sign of growth and competition). Ricardo would later say the same trend was bad but fixable through free trade; Marx would say it was terminal.
- **Say's Law** (supply creates its own demand). J.B. Say as Smith's popularizer; Keynes's later disagreement in the 1930s.
- **Rent theory.** Smith says rent enters price differently from wages and profit — rent is an *effect* of high price, not a cause. Gardner notes an inconsistency here that Ricardo will later fix.